

ECONOMICS MODEL EXIT EXAM 2023

1.If Bekele's marginal rate of substitution of orange for banana equals -4 (where orange is on the horizontal axis), then which of the following is true?

- A. He would give up 4 oranges to get the next banana
- B. He will eat 4 bananas and one orange
- C. He would give up 4 bananas to get the next orange
- D. He will eat 4 oranges and one banana

2.Suppose there is a consumer who is asked to order three bundles X, Y and Z according to her preference. The consumer tells you that she prefers X to Y, Y to Z, and Z to X. Based on this information, one can conclude that her preference is

- A. Incomplete
- B. Intransitive
- C. Not continuous
- D. Not monotonic

3.In economic theory, the economy has reached Pareto Optimality when

- A. society's initial endowment is distributed equally among all individuals
- B. no one can be made better off without making someone else worse off
- C. society's initial endowment is distributed fairly among all individuals
- D. every firm is enjoying a profit

4. An individual has the inverse demand curve for q (the demand curve but with p instead of q on the left hand side) given by $p(q)=200-20q$. If $p=100$, the amount of q consumed and the corresponding consumer surplus, respectively, are

- A. 5 units and 250
- B. 250 units and 5
- C. 5 units and 500
- D. 50 units and 750

5. Suppose you multiply all your factors of production by a constant $t > 1$ and you observe the following relationship: $F(tL, tK) < tF(L, K)$. this observation can make you conclude that

- A. The average costs of production are falling
- B. There are decreasing returns to scale
- C. The marginal products of L and K are increasing
- D. There are increasing returns to scale

6. A firm uses two inputs x_1 and x_2 to produce y, i.e., $y=f(x_1, x_2)$. Let p, w_1 and w_2 denote output price and prices of x_1 and x_2 , respectively. If the marginal value product of x_2 is less than w_2 , that is, $pMP_2 < w_2$, the firm should ____ to increase its profit

- A. Increase the use of x_2
- B. Decrease the use of x_2
- C. Use the same amount of x_2
- D. Not possible to decide with the information provided

7. If a firm finds itself operating in stage I of production,

- A) It can increase its profits by decreasing input use
- B) It can increase its profit by increasing input use to the point where marginal product of labor is zero.

- C) It can increase its profits by moving to stage II
- D) It should stay in stage I because marginal product is increasing

8. After the minimum point of ATC,

- A) The rise in AVC outweighs the fall in AFC
- B) The fall in AVC outweighs the fall in AFC
- C) The rise in AVC is lower than the fall in AFC
- D) AVC equals ATC

9. Which one of the following is not true about short-run cost curves?

- A) Marginal cost(MC) equals average variable cost (AVC) at zero unit of output
- B) MC equals average cost (AC) and AVC at their respective minimum points
- C) TFC is greater than TVC at zero unit of output
- D) The distance between AC and AVC is constant

10. The market type known as perfect competition is

almost free from competition and firms earn large profits.

highly competitive and firms find it impossible to earn an economic profit in the long run.

dominated by aggressive advertising campaigns.

marked by firms continuously trying to change their products so that consumers prefer their product to their competitors' products.

11. The pure monopolist must decrease price on all units of a product sold in order to sell additional units. This explains why:

- A) there are barriers to entry in pure monopoly.
- B) a monopoly has a perfectly elastic demand curve.
- C) marginal revenue is less than price.
- D) total revenues are greater than total costs at the profit maximizing level of output.

12. Compared to the Cournot's equilibrium, in the Stacklebrg's equilibrium,

- A) The leader will have higher profit while the follower gets lower profit
- B) The follower will get higher profit given the that two firms have identical cost structure
- C) The leader will always get higher profit
- D) All of the above except C

? 13. Two firms operate in joint profit maximizing cartel and the demand they face estimated as $P = 60 - 2Q$, where $Q = Q_1 + Q_2$. Firm 1's total cost function is $C_1 =$ and Firm 2's total cost function is $C_2 = 4Q_2$. How much output will each firm produce to maximize industry profit.

- A) $Q_1 = 2$ and $Q_2 = 12$
- B) $Q_1 = 60$ and $Q_2 = 56$
- C) $Q_1 = 4$ and $Q_2 = 4$
- D) $Q_1 = 6$ and $Q_2 = 4$

14. A factor demand curve will shift to the left because of:

- A) an increase in the price of the factor.
- B) an increase in the price of the good the factor produces.
- C) a decrease in the price of the factor.
- D) decrease in the elasticity of demand for the final product.
- E) a decrease in the price of the good the factor produces.

15. When adverse selection exists in the used car market, which of the following will prevail?

- A) Buyers will generally offer a very high price, closer to the price of a good car.

- B) Buyers will generally offer a very low price, closer to the price of a lemon.
- C) Buyers will generally offer a price somewhere between the price they would be willing to pay for a good car and the price they would be willing to pay for a lemon.
- D) All buyers will end up buying a car.

16. One of the following is not an assumption of the Keynesian school of thought for governments to take fiscal and monetary policy actions in an economy

- A) To address macroeconomic problems such as inflation and unemployment
- B) To boost economic growth
- C) Because market forces may not address all types of macroeconomic problems
- D) Development requires disequilibrium and fiscal and monetary policy measures help to create the state of disequilibrium.

17. Which of the following is true for a “self-correcting” market?

- A) The government sets the price and the market respects that decision.
- B) Imbalances between buyers and sellers are automatically reduced through changes in prices
- C) Sellers use their market power to set prices high and persistent surpluses are the result.
- D) Buyers use their market power to set prices low and persistent shortages are the result.

18. Which of the following is not an example of a transfer payment in the sense of the national income accounts?

- A) Family allowances given for civil servants
- B) Public unemployment insurance benefits
- C) Dividends paid by corporations to stockholders
- D) Disability pensions paid from the social insurance system

19. The major difference between GDP and GNP is

- A) GDP of Ethiopia is the value of all goods and services produced domestically by Ethiopian citizens; whereas GNP of Ethiopia is the value of goods and services produced in the country by all types of global nationalities.
- B) GDP of Ethiopia measures final goods and services produced within Ethiopia regardless of the owner of the resources whereas GNP of Ethiopia refers to the value of final goods and services produced with resources of Ethiopian citizens regardless of where those resources are located.
- C) GDP and GNP are synonymous; one can use either of the two.
- D) GDP is often calculated based on constant prices whereas GNP is calculated using current prices.

20. If a worker called “A” and a firm called “B” indulged into a binding contract for one year. Assuming that the rate of inflation would grow at a rate of 5%, the payment of the worker would grow at 10%. Actually, the rate of inflation grows by 10% during the contractual period. Who is being affected by the poor expectations of the two parties?

- A) Both will be affected.
- B) The worker will be affected.
- C) The firm will be affected
- D) We cannot tell since we do not know the actual wage of the worker.

21. In the Keynesian cross, if autonomous consumption spending increases by ΔC_0 , then one of the following is likely to be not true.

- A) Planned expenditure remains unchanged
- B) Planned expenditure changes by the change in the autonomous consumption or ΔC_0 .
- C) Equilibrium income increases by the government multiplier times the change in autonomous consumption.
- D) The planned expenditure line shifts to the right with a margin of ΔC_0 .

22.If government takes expansionary monetary policy action; one of the following is likely to happen in the short-run.

- A) Planned expenditure and equilibrium level of income will both decline
- B) Income will immediately increase because of increased saving
- C) Interest rate declines, and thus investment and output increase
- D) Interest rate increases, and thus saving and investment also increase

23.Which one of the following is wrong about saving?

- A) An increase in the proportion of income that goes to saving reduces aggregate demand
- B) An increase in saving in banks tends to increase the amount of loanable funds and thus reduces interest rate and increases private investment
- C) An increase in the marginal propensity to consume increases marginal propensity to save
- D) Saving has a contradictory effect on aggregate demand and the economy, and this phenomenon is called the paradox of thrift.

24.Tax collection function equals $T = tY$, where t is tax rate and Y is income. Government multiplier is αg . What condition should be satisfied for the economy to have a balanced budget at any given time regardless of expansionary and contractionary fiscal policy measure?

- A) $t = 1/\alpha g$
- B) $t = \alpha g$
- C) Change in tax revenue equals the tax rate times change in government spending
- D) Budget deficits increases by change in government spending

25.Consider an open economy given by the following expressions: $C = 10 + 0.8(Y - T)$, $I = 10$, $G = 10$, $T = 10$, $IM = 0.3Y$ and $X = 0.3Y^*$

Assume the real exchange rate is fixed and equal to 1. What is the government purchase multiplier in this economy, given Y^* ?

- A.1
- B.2
- C.3
- D.4

26.Using the information in question number 25, what is the equilibrium outputs in both the domestic and foreign economy assuming the economies are identical?

- A) 44
- B) 44.6
- C)110
- D)100

27.The relative price of the goods of two countries is

- A) Nominal exchange rate
- B) Real exchange rate
- C) Terms of trade
- D) B and C

28.In the Mundell-Fleming model, with a floating exchange rate, an increase in taxes leads to

- A) A shift of an IS curve to the right

- B) A shift of the LM curve to the left
- C) A fall in the exchange rate while aggregate income remains unchanged
- D) A decrease in the trade balance

29. In the sticky-price aggregate supply model if no firms have flexible prices, then the aggregate price level becomes

- A) The expected price level
- B) A weighted average of the prices set by the two types of firms
- C) The unexpected price level
- D) The weighted average of the prices set by firms with flexible prices

30. In neoclassical investment model, which one is **not correct**

- A) An increase in MPK increases investment
- B) A decrease in MPK shifts the investment curve to the left
- C) An increase in real interest rate decreases investment
- D) An increase in depreciation increases investment

31. Closing the educational gender gap by expanding educational opportunities for women is expected to have _____ in most developing countries.

- A) lower impact on breaking the vicious circle of poverty
- B) weaker rate of return, lower labor force participation, and higher fertility
- C) higher rate of return, and greater labor force participation
- D) deterioration of child health and nutrition because of focus on unnatural food

32. Urban Giantism as a problem entails

- A) midsize cities suffer from enormous levels of congestion, but adequately bigger cities that might provide alternative locations for growth are lacking
 - B) capital cities suffer from enormous levels of congestion, but adequate midsize cities that might provide alternative locations for growth are lacking
 - C) urban centers in developing countries are not sufficiently big to reap the benefits of agglomeration economies
- that the size of cities in developing countries is stunted while cities in developed countries are giants

33. Which one of the following is NOT a positive achievement of the informal sector?

- A) The informal sector has demonstrated its ability to generate employment and income for the urban labor force.
- B) The informal sector generates surpluses even in a hostile policy environment that denies it access to the advantages offered to the formal sector,
- C) As a result of its low capital intensity, only a fraction of the capital needed in the formal sector is required to employ a worker in the informal sector
- D) The informal sector generates demand for highly and moderately skilled labor, although the supply of skill is not matching the demand.

34. Malthusian population model differs from Household model in that Malthusian model is

- A) based on the strength of demand for children relative to other consumer goods while the household model is based on per capita income that traps the population at low level equilibrium
- B) based on per capita income that traps the population at high level equilibrium while the household model depends on the strength of supply of children relative to other investment goods
- C) based on per capita income that traps the population at low level equilibrium while the household model is based on the strength of demand for children relative to other consumer goods

D) based on the weakness of supply of children relative to other producer goods while the household model depends on per capita income that traps the population at high level equilibrium

35. One of the following best explains the **DUAL** nature of education and health

- A) Education and Health are human capabilities where one increases the ability to absorb technology while the other increases productivity
- B) Education and health have different costs and benefits to the individuals investing on.
- C) Education has life time returns while health has mainly current time benefits that may not be sustainable
- D) Education and health are important ends in themselves as they are basic objectives of development while education and health are prerequisites for increase in productivity and growth

36. Deficit in current account balances of developing countries is the outcome of _____

- A) an excess of export payments over import
- B) an excess of import payment over export
- C) balance in import and export payments
- D) surplus of aid and borrowing to debt service

37. One of the following pairs of factors **IS NOT** a manifestation of market failure in agriculture

- A) environmental externalities, the public good character of agricultural research
- B) economies of scale in marketing and information asymmetries in product quality,
- C) missing markets, and monopoly power in input supply,
- D) large number of market actors and low government role

38. Any flow of capital to a developing country has to meet the following criteria to be called “aid”

- A) The interest rate and repayment period for borrowed capital should only be softer than commercial terms
- B) The flow of capital should only be non-commercial from the point of view of the donor
- C) The objective of the flow of capital should be non-commercial from the point of view of the donor, and it should be characterized by concessional terms
- D) The flow of capital should be free of interest and the repayment period should be 10 years or above

39. Total fertility rate is:

- A) The number of children born alive each year per 1000 populations.
- B) The average number of children a woman would have during her childbearing years.
- C) Natural increase after adjusting for immigration and emigration.
- D) Percentage yearly net relative increase or decrease in population size due to natural increase and net international migration.

40. A semiskilled rural worker earns annual average real income of 20,000 birr. She can get annual income of 40,000 birr in urban sector characterized by 60% unemployment rate. If her planning horizon is one year, based on Todaro migration model we would recommend her to:

- A) move to urban areas as actual urban income of 40,000 birr is greater than rural income
- B) move to urban areas as expected urban income of 24,000 birr is greater than rural income
- C) stay at rural areas because expected urban income of 16,000 birr is less than rural income
- D) stay at rural because expected urban income of 12,000 birr is less than rural income

41. One of the following may be a result of a country's **NEGATIVE** achievements on Human Capital Index (HDI) ranking as compared to GDP per capita ranking:

- A) A significant progress in social capital development
- B) A considerable progress in human capital development

- C) A lower education status and higher gender inequality
- D) High level of equity

Option 5

42. Which one of the following theories advocated the strategy of simultaneous big push investment in different branches of industry?

- A) The balanced growth theory
- B) The basic need approach
- C) The new growth theory
- D) The Solow model

43. All of the following are the common features of developing countries, EXCEPT:

- A) High and rising levels of unemployment and underemployment
- B) Substantial dependence on agricultural production and primary product export
- C) Imperfect Markets
- D) High literacy rate

44. One of the following is an important achievement in the East Asian growth miracle.

- A) Heavy reliance on extraction of natural resources
- B) Increasing inequality
- C) Growth with equity
- D) None of the above

45. Which one of the following is an aggregate measure of inequality?

- A) Lorenz curve
- B) Gini coefficient
- C) Human capital index
- D) None of the above

46. Which one of the following is not true about measurement of factor abundance?

- A) When factor abundance is defined using price criteria a country in which one of the factors of production is relatively cheaper is defined as having that factor of production in abundance.
- B) When factor abundance is defined using physical criteria, capital which is relatively cheaper in a particular country, it will be regarded as a capital-rich country.
- C) In physical criterion of factor abundance, a country could be defined as capital (labour) abundant if the relative level of physical capital (labour) is larger than that of labour (capital)
- D) Using price criteria, if labour is relatively cheaper in a particular country, regardless of the physical quantity of labour available, it will be regarded as a labour-rich country.

47. According to Linder's Hypothesis, one is not true*

- A) The Linder hypothesis is an economics conjecture about international trade patterns which states that the more similar the demand structures of countries, the more they will trade with one another.
- B) International trade will still occur between two countries having identical preferences and factor endowments.
- C) Linder hypothesized that nations with similar demands would develop similar industries. These nations would then trade with each other in similar but differentiated goods.
- D) Linder's Hypothesis argues that countries with similar productivity would trade more each other.

48. Which one of the following statements is not true about the Krugman Model?

- A) This theory of trade represents a family of newer trade models that has emerged since Heckscher-Ohlin.

- B) This model rests on two features that are sharply distinct from those of traditional models: economies of scale and monopolistic competition.
- C) In the Krugman model, labor and capital are assumed to be the only factors of production.
- D) None

49. Identify wrong statement about gains from trade and terms of trade

- A) If two nations of approximately the same size and with similar taste patterns participate in international trade, the gains from trade will be shared about equally between them.
- B) If one nation is significantly larger than the other, the larger nation attains fewer gains from trade while the smaller nation attains most of the gains from trade.
- C) An improvement in a nation's terms of trade requires that the prices of its exports decrease relative to the prices of its imports over the given time period.
- D) Deterioration in a nation's terms of trade is due to a rise in its import prices relative to its export prices over a time period.

50. One is not among the Adam Smith's assumptions on international trade theory.

- A) There are constant returns to scale in the production of both goods in the two countries
- B) The production possibilities are such that both countries can produce both the goods if they wish
- C) According to Adam Smith, trade between two nations is based on comparative advantage
- D) Adam Smith started with the simple truth that for two nations to trade with each other voluntarily, both nations must gain.

51. The Ricardian model predicts that countries should completely specialize in production. But this rarely happens for primarily 3 reasons except one

- A) More than one factor of production reduces the tendency of specialization
- Protectionism
- C) Transportation costs reduce or prevent trade, which may cause each country to produce the same good or service.
- D) Technology among countries is same.

52. Which one of the following is not true about the term 'economic integration'?

- A) Economic integration is a process of eliminating restrictions on international trade, payments and factor mobility.
- B) Economic integration thus results in the uniting of two or more national economies in regional trading agreements
- C) Regional economic integration involves the process of trade, economic and financial convergence of integrating states.
- D) Regional economic integration is seen more as an ad hoc and temporary scheme while regional economic cooperation involves agreements that are more permanent.

53. Suppose USA imports a certain good (say, good X) from the UK. The initial exchange rate between the USA dollar and UK pound sterling currencies was $\$2.50 = 1\text{£}$ and the price of the good was $P = \$25$. Assume that the pound has appreciated and now the exchange rate is $\$3.50 = 1\text{£}$ and the new price is $P_1 = 30$. Other things being constant, what will be the **exchange - rate pass - through**?

- A) 40.0 percent
- B) 20.0 percent
- C) 5.0 percent
- D) 0.5 percent

54. In international finance, how do you **distinguish between stocks and bonds**?

- A) Stocks are debt instruments, while bonds are equity instruments
- B) Bonds are debt instruments, while stocks are equity instruments
- C) Both bonds and stocks are debt instruments
- D) Both bonds and stocks are equity instruments

55. In international finance theory, what does **liquidity** refer to?

- A) Liquidity refers to the efficiency with which an asset can be converted into cash without affecting its market price
- B) Liquidity refers to the efficiency with which an asset can be invested in productive activities without losing its initial value
- C) Liquidity refers to a strategy that seeks to limit risk exposures in financial assets
- D) Liquidity refers to a strategy that seeks to minimize exchange rate volatility

56. According to the accounting principle of recording balance of payments, which one of the following transactions is **NOT** recorded under the current account of the balance of payment?

- A) Receipts on export of goods and services
- B) Expenditures on import of goods and services
- C) Inflow of remittances from abroad
- D) Inflow of foreign direct investment

57. In the context open economy macroeconomics, what is the **proxy** used in measuring **openness** of an economy?

- A) The ratio of gross domestic product (GDP) to debt
- B) The ratio of debt to GDP
- C) The ratio of the sum of exports and imports to GDP
- D) The ratio of GDP to the sum of exports and imports

58. Which one of the following features is **NOT** true about the gold standard monetary system?

- A) A monetary system in which the standard economic unit of account is based on a fixed quantity of gold
- B) A monetary system in which the standard economic unit of account is based on a fixed purity of gold
- C) A monetary system in which a currency is freely convertible at home or abroad into a fixed amount of gold per unit of currency
- D) A monetary system in which USA dollar was tied to gold, while other currencies were tied to dollar

59. In economics, which one of the following features **BEST** characterizes the “Dutch Disease?”

- A) A situation in which foreign investment may lead to higher demand for a country’s domestic currency
- B) A situation in which an influx of foreign aid into one sector harms other sectors
- C) An economic phenomenon where rapid development of one sector of the economy and the decline of other sectors leads to appreciation a currency
- D) An economic paradox which occurs when good news harms a country’s broader economy

60. Which organ of the World Bank Group is primarily concerned with **private – sector development** in less developed countries?

- A) The Multilateral Investment Guarantee Agency
- B) The International Finance Corporation
- C) The International Bank for Reconstruction and Development
- D) The International Development Association

61. A speculator who thinks the current rate of interest is high relative to its long run critical value will prefer to put her speculative balance into _____.

- A) cash

- B) bond
- C) less cash and more bond
- D) less bond more cash

62. All other things remaining the same, increase in balance of payment surplus will ____

- A) increase monetary base
- B) decrease monetary base
- C) keep the monetary base constant
- D) increase money multiplier
- E) decrease money multiplier

63. Which of the following factor can potentially decrease commercial banks' capacity to advance more loans?

- A) Increase in reserve requirement ratio
- B) Decrease in reserve requirement ratio
- C) Increase in interest in interest rate
- D) expansion of investment

64. Conduct of monetary policy can be represented in the following sequence

- A) Instruments → Indicators → Targets → Goals
- B) Indicators' → Instruments → Targets → Goals
- C) Targets → Instruments → Targets → Goals
- D) Goals → Instruments → Targets → Goals

65. The difference between money market and capital mark is that*

- A) In the money market, only long-term liquid financial instruments are exchanged. Whereas, in the capital market, only short term securities are dealt with.
- B) In the money market, only short-term liquid financial instruments are exchanged. Whereas, in the capital market, no term securities are dealt with.
- C) In the money market, only short-term liquid financial instruments are exchanged whereas, in the capital market, only long-term securities are dealt with.
- D) In both the money market and capital markets, only short-term liquid financial instruments are exchanged.

66. If the question is what amount of money do you earn per day? This refers to ____ concept of money.

- A) Currency
- B) only coin
- C) wealth
- D) income

67. Which of the following is a flow concept?

- A) deposits in a bank
- B) Capital
- C) wealth
- D) income

68. Which of the following is **TRUE** about money multipliers, m_1 , m_2 and m_3 which are respectively associated with monetary aggregates M_1 , M_2 and M_3

- A) $m_1 < m_2 > m_3$
- B) $m_1 < m_2 < m_3$
- C) $m_1 > m_2 > m_3$

D) $m_1 = m_2 = m_3$

69. Two events, A and B, are said to mutually exclusive if:

A) $P(A|B) = 1$

B) $P(A \cap B) = 1$

C) $P(B|A) = 1$

D) $P(A \cap B) = 0$

70. Which one of the following statements about the correlation coefficient is correct?

A) The correlation coefficient is unaffected by scale changes.

B) Both the change of scale and change of origin have no effect on the correlation coefficient.

C) The correlation coefficient is unaffected by the change of origin.

D) The correlation coefficient is affected by both change of scale and origin.

71. Two independent random variables X and Y have variances 0.2 and 0.5, respectively. Let $Z = 10X - 4Y$. The variance of Z is?

A) 12

B) 16

C) 25

D) 28

72. Consider a set of 18 samples from a standard normal distribution. We square each sample and sum all the squares. The number of degrees of freedom for the Chi-square distribution will be?

A) 17

B) 18

C) 19

D) 20

73. Estimation is the branch of:

A) Statistic

B) Statistical Inference

C) Statistical Methods

D) Sample Statistic

74. The most important and the most difficult stage of any econometric research is

A) Model estimation

B) Model evaluation

C) Model specification

D) Model forecasting

Given the following information on ANOVA Table, answer question number 75 through 77.

Given the following information on ANOVA Table, answer

Source	Sum of Square (SS)	Degree of Freedom (df)
Model	320	5
Residual		20
Total	600	25

75. The residual sum of square (sum of squared errors) is

- A) 250
- B) 260
- C) 270
- D) 280

76. The value of R-Squared and Adjusted R-Squared are, respectively.

*

1 point

- A) 46.67 and 53.33
- B) 46.67 and 41.67
- C) 53.33 and 41.67
- D) 46.67 and 33.33

77. The F-Statistics is

*

1 point

- A) 0.228
- B) 0.466
- C) 0.533
- D) 0.416

78. Suppose you want to estimate the effect of household income and house size on electricity consumption. Based on the information from economic theory, you have identified that increase in house size is strongly correlated with the household income. Which classical regression model assumption will more likely be violated if you estimated the above model using Ordinary Least Square (OLS)

*

1 point

- A) No model misspecification
- B) No autocorrelation problem
- C) No heteroscedasticity problem
- D) No multicollinearity problem

79. Which of the following leads to the problem of model misspecification?

★

1 point

- A) Inclusion of one or more relevant variables from the model
- B) Omission or one or more irrelevant variables are included in the model.
- C) Incorrect functional form of the model
- D) Estimating the non-linear model when the true model is non-linear

80. Using confidence intervals and hypothesis tests with time series data, when the errors are correlated, the coefficient estimates are:

★

1 point

- A) Biased and inefficient
- B) Biased but efficient
- C) Unbiased but inefficient
- D) Unbiased and inefficient

81. Under the null hypothesis of a Bera-Jarque test, the distribution has:★

1 point

- A) Zero skewness and kurtosis of 3
- B) Zero skewness and zero kurtosis
- C) Skewness of one and a kurtosis of 3
- D) Skewness of one and kurtosis of zero

82.● Consider the following model for y_t :

Where t is time trend. Which one of the following most accurately describes the process for y_t ?

★

1 point

- A) A random walk process with drift
- B) A unit root process
- C) A deterministic trend process
- D) Stationary process

83.● If two variables, x_t and y_t are said to be cointegrated, which of the following statements are true?★

1 point

- A) Both x_t and y_t must be stationary at level

- B) Only one linear combination of x_t and y_t will be stationary at first difference
- C) The residuals of a regression of y_t on x_t must be stationary at level
- D) Only x_t will be stationary at level

84. • One of the following variables is predetermined in a simultaneous equation model?*

1 point

- A) Constant term
- B) Error term
- C) Lagged values
- D) All regressors

85. • Assume that a country imports two commodities (X_1 , X_2) at the margin. It was known that 60% of foreign exchange is spent on X_2 . The international market clearing prices are \$2 and \$4 while their domestic market clearing prices are 10Br and 8Br respectively. The shadow price of a unit of foreign exchange (using the UNIDO approach) will be*

1 point

- A) 11.6
- B) 19.25
- C) 3.2
- D) 4.4
- E) 4.8
- F) None

86. • The social value of a good is greater than its economic value, the good is necessary*

1 point

- A) luxury good
- B) demerit good
- C) merit good
- D) normal good
- E) inferior good
- F) None of the above

87. • One of the following tasks is not undertaken during project appraisal*

1 point

- A) Ensuring whether the project size is optimum
- B) Ensuring whether the project timing is right
- C) Preparing tender documents and inviting bids
- D) Ensuring whether the project meet the urgent needs of the sector
- F) None

88. • In financial analysis, depreciation cost of fixed assets is *

1 point

- A) fixed costs

- B) Working capital costs
- C) operating costs
- D) None

89. Identify the incorrect statement about the project life cycle

*

1 point

- A) Project concept definition aims at expressing the country's development Objectives in to the form of projects
- B) The project life cycle is not re-iterative rather it is sequential
- C) Project identification involves listing potential projects
- D) At appraisal stage project formulation assumptions will be checked

90. The project lifecycle phase of which the scope of work is sub-divided into manageable work packages which can be estimated, planned and assigned to responsible person

*

1 point

- A) Pre-feasibility stage
- B) Appraisal Stage
- C) Investment stage
- D) Pre investment stage

91. • Identify the correct statement concerning Standard Conversion Factors (CF)*

1 point

- A) It is summary measure to calculate accounting prices for non-traded goods
- B) The SCF cannot be used in place of commodity specific conversion factors
- C) It is used to calculate the accounting price of tradable goods
- D) The more the goods are traded the more will be the need to use Conversion Factors
- E) Which one of the following statements is correct about Output-Capital Ratio criteria of project appraisal?

92. • Which one of the following is true about differentiable functions *

1 point

- A) All continuous functions are differentiable
- B) Differentiable functions may have a vertical tangent line
- C) All differentiable functions must be continuous functions
- D) None

? 93. A manufacturer determines that when x thousand units of a particular commodity are produced, the profit generated will be dollars. At what rate the profit is changing with respect to the level of production x when 10 units are produced?

*

1 point

- A) 448
- B) 460
- C) 86
- D) 80

? 94. • The critical points of the function are *

1 point

- A) (0,0)
- B) (2,1)
- C) (0,1)
- D) (1,0)

95. • Suppose a consumer consumes two good x and y has the utility function . He has a budget of \$400. The price of x is and the price of y is . His optimal consumption bundle when the price of x falls to \$5, other factors remaining constant is*

1 point

- A) (40,10)
- B) (400, 10)
- C) (20,10)
- D) (10, 20)

96. One of the following is not a limitation of comparative statics analysis

*

1 point

- A) It does not look at the changes in economic variables from one point in time to the next.
- B) It does not look at the dynamic changes in the variables over time.
- C) It neglects the process of adjustment from the old equilibrium to the new equilibrium and ignores the time element contained in the adjustment process.
- D) It assumes that the new equilibrium can be defined and attained after a disequilibrating change in the exogenous variable or a parameter.

? 97. The differential equation is*

1 point

- A) First – order, fourth – degree
- B) Fourth – order, first – degree
- C) Fourth – order, fifth – degree
- D) Fifth – order, fourth – degree

98. • Which of the following is not true about a difference equation?*

1 point

- A) It is an equation which expresses the relationship between the dependent variable and a lagged independent variable that changes at discrete intervals of time.
- B) It is an equation that shows a relationship between the function and one or more of its derivatives.

- C) First order difference equation represents a time lag of one period.
D) All of the above

? 99. • If a dynamic optimization problem is given by*

1 point

- A) It is an equation which expresses the relationship between the dependent variable and a lagged independent variable that changes at discrete intervals of time.
B) It is an equation that shows a relationship between the function and one or more of its derivatives.
C) First order difference equation represents a time lag of one period.
D) All of the above

? 100. • If a dynamic optimization problem is given by

*

1 point

- A) $y(t) = -6t + 12$
B) $y(t) = -3t + 6$
C) $y(t) = -24t^2 + 96t + 5$
D) $y(t) = -3t - 6$

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